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7/1/43

Secretary Morgenthau

J. J. O'Connell and J. W. Pehle

Dr. Mahun Goldman and Mr. James Wise of the American Jewish Congress called to discuss in a preliminary way a comprehensive plan involving primarily the evacuation of Jews from Rumania.

There are some indications that certain government officials in Rumania can be bribed, at a cost of approximately \$170,000, to permit the evacuation of almost 70,000 Jews from Rumania. These funds would be paid to the Rumanian officials in local currency by well-to-do Rumanian Jewish merchants who have been able to conceal their resources, who would be reimbursed either in dollars or Swiss francs to be held in trust for them until after the war. The entire operation would be directed from Switzerland by an agent of the World Jewish Congress who in turn would work through underground channels with prominent members of Jewish communities in Rumania.

The American Jewish Congress has already discussed the proposal in general terms with representatives of the State Department. The program involves extremely difficult implications which will need to be canvassed very carefully within the Treasury, and with other interested Government departments, particularly State. Reduced to concrete Treasury considerations, the program presents the basic question of whether we shall permit American funds to be used for the purpose of purchasing Rumanian currency from wealthy Rumanian merchants in order to facilitate the evacuation, even though the dollars would be blocked. The financial arrangements involved, particularly the ransom aspect, are very troublesome. Similarly, the extensive communication with enemy territory necessary to carry out the program is contrary to all existing policies in these matters.

The proposal is being studied and further information obtained and we will keep you advised of further developments.

(initialed) J. J. O'C.